Business Growth in the UK Confectionery Market

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Written by: Lisa Eades
Reviewed by: Steve Vorster
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Business growth in the UK confectionery market

- The UK confectionery market is **large, well established** and **mature**
  - Most consumers already buy confectionery and biscuits on a regular basis
  - Future growth in the market is expected to be **steady rather than rapid**, as there are relatively few new customers entering the market
- Recent growth has not come from people buying significantly more confectionery and biscuits
  - Instead, it has mainly been driven by **higher prices, premiumisation** and **product innovation**
  - The UK confectionery market is growing in **value rather than volume**, with consumers paying more per item rather than increasing the quantity they purchase.

UK confectionery market size and recent growth

- The value of the UK confectionery market has continued to increase in recent years, even during periods of high inflation and falling real household incomes

Year	Estimated market value (£bn approximate)
2021	14.8
2022	15.4
2023	16.1
2024	16.5 – 17.0

- Demand for confectionery has remained **relatively resilient**, despite pressure on consumer spending
- Growth slowed slightly in 2024 as inflation began to fall, but the market still expanded

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Growth within different confectionery segments

- Growth within the UK confectionery market is **uneven**, with some segments performing better than others

Chocolate confectionery

- This is the largest and most important segment and accounts for **over half of total confectionery sales by value**
- It has also been the **main driver of growth**, largely because:
  - Rising global cocoa prices have pushed up retail prices
  - Premium chocolate bars and sharing products have become more popular
  - Chocolate is strongly linked to treating and gifting occasions

Sugar confectionery

- **Sugar confectionery**, which includes sweets and chewing gum, has experienced much weaker growth
- Demand in this segment has been particularly affected by:
  - Health concerns linked to sugar consumption
  - Reduced impulse buying among some consumers
- As a result, growth in sugar confectionery has been slower, and in some years sales volumes have been flat or declining

The UK biscuits market and business growth

- The UK biscuits market is worth **around £3 billion** and shows different growth characteristics to confectionery
- Biscuits are bought more frequently and are often part of daily routines, such as eating with tea or as a lunchbox snack
  - This makes demand for biscuits **more stable** and less dependent on special occasions
- Growth in the biscuits market has been **slow but steady**, with sales value growth supported by:
  - Rising prices
  - Growth in premium and indulgent biscuit ranges

Growth variation in the biscuits market

Everyday biscuits	Premium and bakery-style biscuits

• Very low growth • Consistent sales volumes • Examples: digestives and rich tea	• Growing faster • Consumers are willing to pay more for indulgent products • Examples: Duchy, Border, Bonne Maman

- As with confectionery, sales value growth in biscuits is being driven mainly by **premiumisation rather than increased volume**

Market growth forecasts

- Market research organisations forecast **moderate growth** for the UK confectionery market over the next few years, reflecting its mature nature

Period	Forecast annual growth rate (approximate)
2024–2026	2 – 3% per year
2026–2030	1.5 – 3% per year

- These forecasts suggest that the UK confectionery market will continue to grow, but only at a **slow and controlled pace**
- Most businesses will need to focus on maintaining or increasing their market share rather than relying on overall market growth

Reasons for forecast UK growth

Population stability | Price & premium effects | Innovation

- Growth is expected to remain limited due to **population stability**
  - The UK population is growing slowly, which restricts demand growth through new consumers
  - As a result, businesses must rely on changing consumer preferences rather than population growth
- The continued importance of **price** and **premium effects**
  - Sales value growth is expected to be supported by:
    - Higher average prices, partly due to ongoing cost pressures (e.g cocoa and sugar prices)
    - Continued demand for premium chocolate and biscuit products
- **Ongoing innovation** is expected to support growth

- Biscuits, in particular, benefit from innovation because they are purchased frequently, meaning small changes can encourage repeat purchases

Limits to growth in the UK market

- Despite these factors, there are some limits to growth in the UK confectionery market
  - Competition between established brands is intense, making it difficult for businesses to increase sales without taking market share from rivals.
  - Health concerns and growing awareness of sugar consumption may also limit long-term volume growth
  - The strong power of supermarkets places pressure on both prices and profit margins, particularly for smaller suppliers
- Together, these factors mean the UK confectionery market offers **low risk but limited growth potential**

What this means for UK-based businesses

Type of business	Strategies for growth
Large firms	• For **large confectionery and biscuit firms**, growth strategies focus on defending and extending market share • This may be through strong branding, frequent promotions and continuous product innovation • Premiumisation is particularly important as it allows firms to protect profit margins in a slow-growth market

Small businesses	• For **smaller businesses**, competing on price or scale is much more difficult
	• Instead, growth is more likely to come from:
	  ○ Premium or artisanal positioning
	  ○ Ethical or sustainable products
	  ○ Selling through local and independent retailers
	• The biscuit market can be particularly attractive for smaller firms
	  ○ Craft production and unique flavours allow differentiation without competing directly with large multinational brands

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